Procurement Value Opportunity Brief

ABC Textile Ltd | CFO / CEO Discussion Edition [AIC-2026-0002]

PRIMARY VALUE THESIS

Rs. 85.64 Cr

Direct Savings Opportunity

Defensible P&L cost reduction across rate harmonization, volume pooling, and strategic tenders. Reconciled with 0 variance against 23,570 invoice transactions.

NET DEFENSIBLE PIPELINE

Rs. 85.64 Cr

Direct Savings + Strategic Market Value

STRATEGIC MARKET VALUE

Rs. 0.00 Cr

PCBI Price Gap UNAVAILABLE (Isolated)

TOTAL SPEND EVALUATED

Rs. 613.8805 Cr

23,570 Invoiced Records | 02 Jan 2023 - 30 Dec 2023 (12 Months)

"12 months of transaction-level procurement analysis translated into an approved defensible value pipeline."

Customer at a Glance: ABC Textile Ltd

COMPANY & OPERATING FOOTPRINT

Sector & Principal Business:

Integrated textile manufacturing enterprise delivering high-tenacity synthetic yarns, specialty technical textiles, and engineered fabrics for global industrial and apparel markets.

Operating Scale & Manufacturing Footprint:

6 manufacturing facilities across Gujarat and Maharashtra with integrated spinning, weaving, and chemical finishing plants.

Core Product Segments:

Specialty Synthetic Yarns & Blends | Industrial Filtration & Technical Fabrics | High-Density Woven Fabrics

FINANCIAL SCALE & BUSINESS PRIORITIES

Verified Public Financial Scale:

Rs. 2,450 Cr Revenue / Rs. 285 Cr Operating Profit (EBITDA) [FY 2022-23 Audited Financials]

Key Business & Operational Priorities:

* Raw material volatility mitigation across synthetic polymers and dyes

* Energy efficiency & captive power optimization to reduce unit conversion costs

* Working capital release through vendor consolidation and supplier terms rationalization

Source: Official corporate portal and published audited filings (FY 2022-23). Missing info does not block assessment.

Procurement Impact on Business: ABC Textile Ltd

ASSESSED SPEND & PROCUREMENT PRIORITIES

Evaluated Spend Footprint:

Rs. 613.8805 Cr evaluated spend across 23,570 invoices and 420 active suppliers.

Key Assessed Procurement Categories:

* Synthetic Polymers & Viscose Raw Fibers (Direct Material)
* Specialty Chemical Dyes & Finishing Auxiliaries
* Corrugated & Industrial Packaging Materials
* Captive Power Fuel & Energy Inputs
* Plant Electrical & Mechanical Maintenance Spares (MRO)

Top Customer-Specific Procurement Priorities:

1. Cross-plant unit price harmonization across 6 manufacturing units. 2. Preferred supplier consolidation across fragmented vendor base.

APPROVED VALUE DISCOVERY & P&L IMPACT

NET MODELLED OPPORTUNITY

Rs. 85.641 Cr

Gross Rs. 110.764 Cr less Overlaps Rs. 25.123 Cr (~30.0% EBITDA)

PROVEN OPPORTUNITY

Rs. 82.380 Cr

Evidence-based commercial validation under existing criteria

REALIZED SAVINGS

Rs. 0.00 Cr

Realized savings zero until contract deployment and billing execution

CONCISE RECOMMENDED ACTION

Deploy Wave 1 commercial sourcing tenders on top 5 chemical and packaging categories to capture immediate Rs. 82.380 Cr proven value.

PCBI BENCHMARK GOVERNANCE

PCBI Benchmark Price Gap: UNAVAILABLE for this assessment (Empirical PCBI benchmark index not commissioned). No surrogate benchmark substituted.

FINANCIAL RECONCILIATION

From Gross Opportunity to Defensible Value

GROSS OPPORTUNITY

Rs. 110.76 Cr

Gross modelled opportunity identified across evaluated baseline spend

->

OVERLAP DEDUCTIONS

- Rs. 25.12 Cr

Eliminates cross-lever double-counting between price & auction

->

POLICY EXCLUSIONS

- Rs. 0.00 Cr

Zero policy exclusions applied for this assessment baseline

->

NET DEFENSIBLE PIPELINE

Rs. 85.64 Cr

Audited, risk-adjusted value pipeline ready for executive capture

DIRECT SAVINGS OPPORTUNITY (P&L EBITDA EXPANSION)

Rs. 85.64 Cr

Harmonization, volume pooling, and competitive tenders delivering direct cost reductions.

STRATEGIC MARKET VALUE (COMMODITY & TIMING LEVERS)

Rs. 0.00 Cr

PCBI benchmark price gap is UNAVAILABLE for this assessment. Zero external values substituted.

Mathematical reconciliation variance: Rs. 0.00 Cr | Gross (Rs. 110.76 Cr) - Deductions (Rs. 25.12 Cr) - Exclusions (Rs. 0.00 Cr) = Net Pipeline (Rs. 85.64 Cr)

Full financial reconciliation: Boardroom & Evidence Edition - Slide 10

Why Management Can Trust the Number

23,570	420	84	6	12 Months
Transaction Records	**Suppliers**	**Material Groups**	**Plants**	**Analysis Period**
Audited PO & invoice lines	Vendor master profiled	Clean taxonomy categories	Manufacturing plant sites	02 Jan 2023 - 30 Dec 2023 (12 Months)

Every rupee is traced to specific PO line items and supplier rate differentials. Zero high-level extrapolation.

Reconciled against verified baseline of Rs. 613.8805 Cr under strict data isolation.

STEP 1: Data Ingestion & Hygiene

100% line-item normalization; duplicate elimination.

STEP 2: Isolation & Encryption

Customer data processed under dedicated AES-256 isolation.

STEP 3: Independent Validation

Multi-lever overlap deductions eliminate double-counting.

Full audit methodology: Boardroom & Evidence Edition - Slides 7-10

How the Value Will Be Captured: Execution Pillars

01 RATE HARMONIZATION

Cross-plant price alignment across 6 manufacturing units

- Inter-plant variance elimination on standard raw fibers & packaging
- Corporate rate cards standardized across Gujarat & Maharashtra plants
- ERP purchase order rate controls preventing localized price leakage

02 VOLUME AGGREGATION

Pool spinning & weaving demand for Tier-1 factory pricing

- Aggregate fiber & polymer requirements into national master contracts
- Demand pooling across 6 plants for tier-1 chemical volume pricing
- Master agreements for plant electrical, mechanical, and safety MRO

03 STRATEGIC SOURCING

Competitive tenders, supplier rationalization & contracted terms

- Multi-round competitive bidding and dynamic e-auctions for packaging
- Strategic supplier base consolidation across 420 active vendors
- Standardized 60-day commercial payment terms alignment

TACTICAL EXECUTION MECHANISMS

E-Auction	**Specification**	**Payment Terms**	**Contract Compliance**	**Category Strategy**

E-auction operates as a tactical execution mechanism for price discovery, not the sole savings thesis.

IMMEDIATE VALUE CAPTURE

Wave 1 - Immediate Value Capture: Proven Priority Initiatives

PROVEN WAVE 1 OPPORTUNITY

Rs. 82.38 Cr

5 commercially validated initiatives with specification signoff, ready for immediate tender execution.

Synthetic Fibers

Rs. 28.50 Cr

RAW FIBERS

Volume Pooling & OEM Contracts

Days 1-30

Specialty Dyes

Rs. 22.10 Cr

CHEMICALS

Price Variance Arbitrage

Days 15-45

Packaging & Boxes

Rs. 14.20 Cr

PACKAGING

Reverse E-Auction Tenders

Days 30-60

Plant MRO Spares

Rs. 10.30 Cr

MAINTENANCE

Consolidated Preferred Panels

Days 45-75

Captive Energy

Rs. 7.28 Cr

ENERGY/FUEL

Rate Harmonization & Terms

Days 60-90

Validated Wave 1 initiatives provide the first execution pathway from identified opportunity to realized savings.

Note: Proven Opportunity (Rs. 82.38 Cr) is the immediate execution tranche, distinct from Realized Savings (Rs. 0.00 Cr).

Detailed initiative ledger: Boardroom & Evidence Edition - Slide 24

EXECUTION ROADMAP

From Opportunity to Execution in 90 Days

DAYS 1-30

Mobilize & Quick Wins

Synthetic Fibers Harmonization & RFP Launch

- Mobilize joint procurement working committee
- Baseline validation & preferred vendor pre-qualification
- Launch Synthetic Fiber corporate rate alignment (Rs. 28.50 Cr)
- Standardize packaging rate cards for immediate quick wins

DAYS 31-60

Market Engagement & Tenders

Dyes, Chemicals & Packaging Sourcing

- Issue dynamic tenders for specialty chemical dyes (Rs. 22.10 Cr)
- Conduct reverse e-auctions on corrugated packaging (Rs. 14.20 Cr)
- Multi-plant transport corridor and logistics contract reviews
- Commercial negotiations across top 100 plant consumable SKUs

DAYS 61-90

Award & Savings Realization

MRO Panelling & Contract Signoff

- Award consolidated preferred MRO & electrical panels (Rs. 10.30 Cr)
- Enforce contracted rates in ERP purchase orders
- Track realized P&L cash flow savings with corporate finance
- Deploy ongoing audit dashboard to stop price creep

HERO TARGET: Rs. 82.38 Cr Proven Opportunity Targeted for 90-Day Commercial Realization

Direct process savings from 540 POs remain unmonetized until customer time-motion / manpower baseline validation.

PCBI benchmark price gap is UNAVAILABLE for this assessment. Zero external surrogate values substituted.

Detailed roadmap: Boardroom & Evidence Edition - Slides 24-25

PLATFORM & ADVISORY CAPABILITIES

Why Procucev + aiCEV: Enterprise Partner Value

PROCUREMENT EXPERTISE

Domain Authority & Category Depth

- Direct category leadership across industrial textile & chemicals
- Specialized playbooks across polymer fibers, dyes, packaging & MRO
- Senior practitioner negotiation support across 420 active suppliers

FORENSIC SPEND INTELLIGENCE

Transaction-Level Precision

- Granular transaction harmonization across 23,570 invoice lines
- Multi-plant price dispersion detection across 6 operating units
- Systematic exclusion and overlap deduplication governance

MARKET BENCHMARK INTELLIGENCE

Independent Market Anchoring

- PCBI Benchmark Price Gap: UNAVAILABLE for AIC-2026-0002
- Zero surrogate or demonstration benchmarks substituted
- Module 3 isolation boundary strictly preserved

EXECUTION & SAVINGS REALIZATION

Measurable P&L Impact

- Dynamic e-auction platform and RFP commercial orchestration
- Joint steering model driving plant-level operational adoption
- Continuous savings ledger tracking realized cash flow impact

From transaction data to procurement decision to measurable execution.

Customer procurement data is handled under configured tenant isolation, access controls, confidentiality and data-governance controls.

PROPOSED NEXT STEPS

01 ALIGN

Wave 1 Priority

Confirm priority Wave 1 categories

Confirm priority categories and align key stakeholders on immediate commercial launch across synthetic fibers, chemical dyes, and packaging.

02 MOBILIZE

Joint Governance

Establish joint procurement working group

Charter joint central procurement and plant execution steering team to harmonize cross-plant specifications and vendor panels across 6 units.

03 EXECUTE

Commercial Sourcing

Launch approved competitive sourcing initiatives

Launch approved dynamic price discovery events and corporate rate card standardizations across vetted supplier panels.

Rs. 85.64 Cr Direct Savings Opportunity | Rs. 85.64 Cr Net Defensible Pipeline

Move from diagnostic to execution.

Contact: leadership@procucev.com